

GENI pitch deck

PITCH — GENI — PROPOSED VERDICT: NO POSITION (killed at triage) — a levered acquisition story priced as an asset-light compounder, with one banked future trade (ADJUDICATED same-day)

What we believe

Genius Sports is a good business having its story told wrong. The +65% headline growth is mostly the \$1.2B Legend acquisition (organic ~20%). The balance sheet flipped from asset-light to ~\$700M net debt (~2× leverage) via an \$850M term loan. The stock is +72% in 90 days into a Strong-Buy consensus at forward P/E ~136. And the tell: after beating Q2 by \$11M, management raised the full year by only ~\$15M — an implied H2 raise of ~\$4M — despite the World Cup knockouts, the final, AND the NFL opener all landing in Q3. When the peak quarter earns a token raise, either management is sandbagging or the tournament pulled demand forward. Neither is worth 136× forward.

What the market believes

That this is the picks-and-shovels of sports betting — operator-agnostic, rights-moated, riding every handle dollar — and that the World Cup proved the model. Twenty analysts, consensus Strong Buy, PT ~\$10.93 vs ~\$7.56.

Why we might have edge

Calendar decomposition. Our own desk got it wrong on intake (we called Q3 the “hangover” quarter — it is the PEAK: knockouts + final + NFL open), and the sell side appears not to be modeling the real hangover, which arrives Q3-2027 when GENI laps the tournament with a levered balance sheet. That date is banked in our tournament-rotation playbook. Also the acquisition-vs-organic split: media +193% (Legend), betting +28% — the composition is knowable from filings and mostly untold.

Why it might be priced in

It isn't priced in — it's priced PAST in. That's the point: nothing here is cheap, undiscovered, or mispriced in our favor today. The kill is a valuation-and-crowding kill, not an integrity kill.

What we checked ourselves

claim	how checked	found	confirmed?
“print is ahead — don't race it” (our brief)	6-K calendar	Q2 printed 8/06 (beat + raise); next is 11/03	YES — our brief was wrong

claim	how checked	found	confirmed?
"Q3 = hangover" (our brief)	FIFA calendar	Q3 = knockouts + final + NFL open = PEAK; hangover = Q3-2027	YES — our brief was wrong
" +65% growth"	acquisition filings	Legend \$1.2B (4/30 close); organic ~20%	YES
"asset-light"	debt package filings	\$850M TLB; net debt ~\$700M ~2×	YES — no longer true
dilution	share tables	267.6M basic → 311.5M diluted +16.4%, + 14.5M NFL warrants + 24.4M RSU/PSU	YES

PROPOSED ENTRY BANDS

None. Reopen conditions: (a) a de-rating that restores a margin of safety against the LEVERED entity (the courts' math suggests interest starts below ~6× EV/FY27 EBITDA — roughly the mid-\$4s — not before); or (b) the Q3-2027 hangover setup as a SHORT/avoid study, flagged to open ~June 2027 with full short gates. No resting orders in either direction.

ARMED SENSORS

- Q3 print 2026-11-03: the peak quarter — organic vs Legend split, and whether the token H2 raise was sandbag (beat big) or pull-forward (miss)
- Legend earnout (\$300M) accounting and integration language
- NFL warrant vesting and any rights-renewal cost disclosures
- Q3-2027: the true tournament lap — the banked rotation trade
- MISSING and now added: acquisition-adjusted organic growth as a mandatory screen field on any M&A-inflated grower

What remains unverified

Live tape at ruling (quote-blocked; \$7.56 was the sourced close); the exact organic/Legend revenue split (company discloses partially); SRAD comp court cross-read (its 4/10 court predates the Legend close).

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Primary: <https://www.investing.com/news/company-news/genius-sports-q2-2026-slides-revenue-beats-guidance-raised-93CH-4842637> (Q2 6-K coverage).